

ADMIN ORDER NO.18/2021**Dated: 17th December, 2021****POLICY GUIDELINES GOVERNING ENCASHMENT OF LPR**

1. Management has decided that Encashment of Leave Preparatory to Retirement (LPR) of all categories of retiring employees shall be allowed by the CEO on case to case basis, on account of work / operational requirement with a view to retain quality and experienced human resource, subject to laid down conditions and departmental recommendations. Encashment shall be made at half salary of the total LPR period, during which the retiring employee is allowed to perform his / her duties.

2. Following procedure & conditions shall govern encashment of LPR:

a- Procedure:

- i. The case for encashment of LPR shall be initiated by concerned Sectional / Divisional / Departmental Head after issuance of an employee's Retirement Letter by HR Department, on the basis of service exigencies, specifically mentioning the period of LPR during which retiring employee's services are required.
- ii. Cases of Chiefs & equivalents shall be directly approved by the CEO.

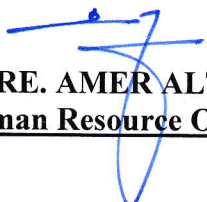
b- General Conditions:

- i. The retiring employee has clean record of service.
- ii. PAR Ratings of the employee for last two years are not less than 'Above Average';
- iii. The employee has Sound Health, for which CMO's certification shall be required;
- iv. Except in case of Pilots, the Departmental Head concerned shall nominate & depute the successor in consultation with HR Department for replacing the retiring employee after his / her retirement.
- v. The period for performance of duty during LPR shall not exceed one year (365 days).
- vi. In addition to regular salary, the retiring employee shall be paid encashment equal to half salary of the total LPR period, in lieu of the work done during that period.
- vii. An undertaking in writing will be obtained from the employee that he / she is willing to perform duty during his / her LPR and that he / she will not claim any additional benefit / compensation, except encashment of leave, as stated above.
- viii. The retiring employee shall compulsorily be released on the date of his / her retirement on superannuation.
- ix. No C/L or S/L shall be admissible during the period of LPR encashment. In case of sickness or personal exigencies, absence from duty will be adjusted from P/L and will shorten the period of encashment of LPR.
- x. Employees presently performing duty during LPR with the approval of competent authority shall be covered under this revised policy.
- xi. The revised policy shall be applicable with immediate effect.

Contd.....P/2

3. All other conditions / provisions governing LPR of employees shall remain unchanged.
4. Admin Order No.11/2018, dated 13-12-2018 stands superseded. All other relevant orders / circulars / provisions in PPM stand amended accordingly.

Authority: **Chief Executive Officer**


AIR CDRE. AMER ALTAF
Chief Human Resource Officer

DISTRIBUTION:

- SA to the CEO (for information please)
- All Chiefs & Equivalents.
- All General Managers & Equivalents.
- All Area / Station Heads.
- PIA Intranet.